Differences between Direct Taxes and Indirect Taxes

Basis	Direct Taxes	Indirect Taxes
1. Meaning	If a tax levied on the income or wealth of a person is paid by that person (or his office) directly to the Government, it is called direct tax.	If tax is levied on the goods or services of a person is collected from the buyers by another person (seller) and paid by him to the Government it is called indirect tax.
2. Incidence and Impact	Falls on the same person. Imposed on the income of a person and paid by the same person.	Falls on different persons. Imposed on the sellers but collected from the consumers and paid by sellers.
3. Evasion	Tax evasion is possible.	Tax evasion is more difficult
4. Inflation	Direct tax helps in reducing the inflation.	Indirect tax contributes to inflation.
5. Shiftability	Cannot be shifted to others	Can be shifted to others
6. Examples	Income Tax, Wealth Tax	GST, Excise Duty.

register under GST. But the traders having inter-state business should register and pay GST even the turnover is below Rs.20 lakhs. Special provisions are there in the GST Act for the 8 northeastern states and Himschal Pradesh, Uttarakhand and Jammu and Kashmir.

Goods and Service Tax

GST Act was passed on April 12, 2017. GST came into effect from 1st July, 2017. It is the single biggest tax reform since Independence. Several Countries like Russia, Canada, Australia, Singapore, China, etc. have already introduced GST.

The right to levy tax is derived from the Constitution of India. To permit the Centre and the States to levy taxes on the same goods and services needed unique amendment to the Constitution. Accordingly 101st Constitution Amendment Act 2016 was passed and the President's acceptance was received on September 8, 2016. Under this Act, GST Council, a constitutional body was to be formed to implement GST.

Kinds of GST

GST is of three kinds: CGST, SGST/UGST, and IGST.

a. **CGST** - Central Goods and Services Tax - imposed and collected by the Central Government on all supply of goods within a state (intra-state) under CGST Act 2017
b. **SGST** - State Goods and Services Tax - imposed and collected by the State Governments under State GST Act. (Tamil Nadu GST Act 2017 passed by Tamil Nadu Govt.)
c. UGST - Union Territory Goods and Services Tax - imposed and collected by the five Union Territory Administrations in India under UGST Act 2017.
d. IGST - Inter-State Goods and Services Tax - imposed and collected by the

Commerce 26_33.indd 316 13/12/2022 13:07:21